# FAMILY BANK LIMITED

## AUDITED FINANCIAL STATEMENTS AND OTHER DISCLOSURES FOR THE PERIOD ENDED 31ST DECEMBER 2021

| STATEMENT OF FINANCIAL POSITION | BANK | | GROUP | |
|---|---|---|---|---|
| | 31-Dec-20 Audited Shs.`000 | 31-Dec-21 Audited Shs.`000 | 31-Dec-20 Audited Shs.`000 | 31-Dec-21 Audited Shs.`000 |
| **A ASSETS** | | | | |
| 1 Cash ( both Local & Foreign) | 4,038,445 | 3,960,569 | 4,038,445 | 3,960,569 |
| 2 Balances with Central Bank of Kenya | 4,841,075 | 4,252,348 | 4,841,075 | 4,252,348 |
| 3 Kenya Government & other Securities held for dealing purposes | - | - | - | - |
| 4 Financial Assets at Fair Value through Profit & Loss | - | - | - | - |
| 5 Investment Securities: | - | - | | - |
| (i) Held to Maturity: | - | - | | - |
| (a) Kenya Government Securities | 8,901,395 | 13,573,762 | 8,901,395 | 13,584,768 |
| (b) Other Securities | - | - | - | - |
| (ii) Available for Sale: | - | - | | - |
| (a) Kenya Government Securities | 8,099,803 | 11,115,877 | 8,099,803 | 11,115,877 |
| (b) Other Securities | - | - | - | - |
| 6 Deposits and balances due from local banking institutions | 501,404 | 1,132,819 | 501,404 | 1,132,819 |
| 7 Deposits and balances due from banking institutions abroad | 318,003 | 3,154,408 | 318,003 | 3,154,408 |
| 8 Tax recoverable | - | - | 27,904 | 3,336 |
| 9 Loans and advances to customers (net) | 56,579,798 | 66,901,824 | 56,579,798 | 66,901,824 |
| 10 Balances due from Banking Institutions in the Group | - | - | - | - |
| 11 Investments in associates | - | - | - | - |
| 12 Investments in subsidiary companies | 1,000 | 10,000 | - | - |
| 13 Investments in joint ventures | - | - | - | - |
| 14 Investment properties | 23,400 | 23,400 | 23,400 | 23,400 |
| 15 Property and equipment | 3,693,494 | 2,980,793 | 3,694,604 | 2,981,384 |
| 16 Prepaid lease rentals | 134,583 | 132,553 | 134,583 | 132,553 |
| 17 Intangible assets | 384,289 | 315,250 | 399,355 | 326,111 |
| 18 Deferred tax asset | 1,552,679 | 1,805,110 | 1,552,679 | 1,805,110 |
| 19 Retirement benefit asset | - | - | - | - |
| 20 Other assets | 1,521,258 | 2,324,352 | 1,548,349 | 2,362,488 |
| **TOTAL ASSETS** | **90,590,626** | **111,683,065** | **90,660,797** | **111,736,995** |
| **B LIABILITIES** | | | | |
| 21 Balances due to Central Bank of Kenya | - | - | - | - |
| 22 Customer deposits | 70,125,378 | 82,430,538 | 69,756,770 | 81,911,523 |
| 23 Deposits and balances due to local banking institutions | 451,741 | 2,281,200 | 451,741 | 2,281,200 |
| 24 Deposits and balances due to foreign banking institutions | - | - | - | - |
| 25 Other money market deposits | - | - | - | - |
| 26 Borrowed funds | 3,017,148 | 8,241,794 | 3,017,148 | 8,241,794 |
| 27 Balances due to Banking Institutions Group Companies | - | - | - | - |
| 28 Tax payable | 126,975 | 263,147 | 126,975 | 263,148 |
| 29 Dividends payable | 5,904 | 4,845 | 5,904 | 4,845 |
| 30 Deferred tax liability | - | - | 1,126 | 761 |
| 31 Retirement benefit liability | - | - | - | - |
| 32 Other liabilities | 3,701,915 | 3,297,260 | 3,844,872 | 3,441,378 |
| **TOTAL LIABILITIES** | **77,429,061** | **96,518,784** | **77,204,536** | **96,144,649** |
| **C SHAREHOLDERS' FUNDS** | | | | |
| 33 Paid up /Assigned capital | 1,287,108 | 1,287,108 | 1,287,108 | 1,287,108 |
| 34 Share premium | 5,874,662 | 5,874,662 | 5,874,662 | 5,874,662 |
| 35 Revaluation reserves | 264,647 | 92,088 | 264,647 | 92,088 |
| 36 Retained Earnings | 5,735,148 | 6,453,625 | 6,029,844 | 6,881,691 |
| 37 Statutory loan reserves | - | 369,161 | - | 369,161 |
| 38 Other Reserves | - | - | - | - |
| 39 Proposed dividends | - | 1,087,638 | - | 1,087,638 |
| 40 Capital grants | - | - | - | - |
| **TOTAL SHAREHOLDERS' FUNDS** | **13,161,565** | **15,164,281** | **13,456,261** | **15,592,346** |
| 42 Minority Interest | | | | |
| **TOTAL LIABILITIES AND SHAREHOLDERS' FUNDS** | **90,590,626** | **111,683,065** | **90,660,797** | **111,736,995** |

| STATEMENT OF COMPREHENSIVE INCOME | BANK | | GROUP | |
|---|---|---|---|---|
| | 31-Dec-20 Audited Shs.`000 | 31-Dec-21 Audited Shs.`000 | 31-Dec-20 Audited Shs.`000 | 31-Dec-21 Audited Shs.`000 |
| **INTEREST INCOME** | | | | |
| 1 Loans and advances | 7,303,236 | 8,402,188 | 7,303,236 | 8,402,188 |
| 2 Government securities | 1,464,830 | 2,337,312 | 1,464,830 | 2,337,312 |
| 3 Deposits and placements with banking institutions | 102,556 | 29,319 | 102,556 | 29,319 |
| 4 Other Interest Income | 22,797 | - | 22,797 | - |
| **Total interest income** | **8,893,419** | **10,768,819** | **8,893,419** | **10,768,819** |
| **INTEREST EXPENSE** | | | | |
| 5 Customer deposits | 2,015,431 | 2,474,224 | 1,996,304 | 2,442,127 |
| 6 Deposits and placement from banking institutions | 24,814 | 95,563 | 24,814 | 95,563 |
| 7 Other interest expenses | 447,131 | 468,657 | 447,131 | 468,657 |
| **Total interest expenses** | **2,487,376** | **3,038,444** | **2,468,249** | **3,006,347** |
| | | | | - |
| **NET INTEREST INCOME** | **6,406,043** | **7,730,375** | **6,425,170** | **7,762,472** |
| **OTHER OPERATING INCOME** | | | | |
| 8 Fees and commissions on loans and advances | 141,635 | 205,498 | 141,635 | 205,498 |
| 9 Other fees and commissions | 1,723,999 | 2,064,042 | 1,723,999 | 2,064,042 |
| 10 Foreign exchange trading income | 341,362 | 297,421 | 341,362 | 297,421 |
| 11 Dividend Income | - | - | - | - |
| 12 Other income | 314,433 | 238,040 | 482,412 | 468,883 |
| **Total non-interest income** | **2,521,429** | **2,805,001** | **2,689,408** | **3,035,844** |
| | | | | - |
| **TOTAL OPERATING INCOME** | **8,927,472** | **10,535,376** | **9,114,578** | **10,798,316** |
| **OPERATING EXPENSES** | | | | |
| 13 Loan loss provision | 1,616,303 | 768,184 | 1,616,303 | 768,184 |
| 14 Staff costs | 2,339,382 | 2,529,477 | 2,388,354 | 2,579,703 |
| 15 Directors' emoluments | 118,606 | 105,417 | 132,133 | 117,637 |
| 16 Rental charges | 614,006 | 612,080 | 614,006 | 612,080 |
| 17 Depreciation charge on property and equipment | 505,652 | 428,482 | 511,349 | 433,241 |
| 18 Amortisation charges | 124,204 | 138,027 | 124,204 | 138,027 |
| 19 Other operating expenses | 2,283,706 | 2,809,041 | 2,287,576 | 2,812,597 |
| **Total operating expenses** | **7,601,859** | **7,390,707** | **7,673,925** | **7,461,469** |
| | | | | - |
| **Profit Before Tax and Exceptional Items** | **1,325,613** | **3,144,669** | **1,440,653** | **3,336,847** |
| 20 Exceptional items | - | - | - | - |
| **Profit After Exceptional Items** | **1,325,613** | **3,144,669** | **1,440,653** | **3,336,847** |
| 21 Current tax | (916,703) | (1,277,555) | (945,804) | (1,337,416) |
| 22 Deferred tax | 667,137 | 308,163 | 667,671 | 309,215 |
| **Profit After Tax and Exceptional Items** | **1,076,047** | **2,175,277** | **1,625,520** | **2,308,646** |
| | | | | - |
| **Other Comprehensive Income:** | | | | - |
| Gains/(Losses) from Translating the Financial Statements of | | | | |
| 23 Foreign Operations | - | - | - | - |
| 24 Fair Value changes in Available-fo-sale Financial Assets | (13,777) | (172,561) | (13,777) | (172,561) |
| 25 Revaluatation Surplus on Property, Plant and Equipment | - | - | - | - |
| 26 Share of other Comprehensive Income of Associates | - | - | - | - |
| 27 Income Tax Relating to Components of other Comprehensive Income | - | - | - | - |
| **Other Comprehensive Income for the Year Net of Tax** | **(13,777)** | **(172,561)** | **(13,777)** | **(172,561)** |
| **TOTAL COMPREHENSIVE INCOME FOR THE YEAR** | **1,062,270** | **2,002,716** | **1,148,743** | **2,136,085** |
| **EARNINGS PER SHARE- BASIC & DILUTED** | **0.84** | **1.56** | **0.90** | **1.66** |
| **DIVIDEND PER SHARE -DECLARED** | **-** | - | | |

| OTHER DISCLOSURES | BANK | |
|---|---|---|
| | 31-Dec-20 Audited Shs.`000 | 31-Dec-21 Audited Shs.`000 |
| **1.0 NON-PERFORMING LOANS AND ADVANCES** | | |
| 1.1 (a) Gross Non-performing loans and advances | 9,390,878 | 11,056,249 |
| 1.2 (b) Less Interest in Suspense | 1,309,838 | 1,555,254 |
| 1.3 **(c)Total Non-Performing Loans and Advances (a-b)** | **8,081,040** | **9,500,995** |
| 1.4 (d) Less Loan Loss Provision | 4,137,787 | **4,707,934** |
| 1.5 **(e) Net Non-Performing Loans and Advances(c-d)** | **3,943,252** | **4,793,061** |
| 1.6 (f) Discounted Value of Securities | 3,747,237 | **4,106,208** |
| 1.7 **(g) Net NPLs Exposure (e-f)** | **196,016** | **686,853** |
| **2.0 INSIDER LOANS AND ADVANCES** | | |
| 2.1 (a) Directors, Shareholders and Associates | 1,710,385 | 1,648,634 |
| 2.2 (b) Employees | 1,222,296 | 1,230,908 |
| 2.3 **(c)Total Insider Loans and Advances and other facilities** | **2,932,681** | **2,879,542** |
| **3.0 OFF-BALANCE SHEET ITEMS** | | |
| 3.1 (a)Letters of credit,guarantees, acceptances | 8,073,825 | 8,585,144 |
| 3.2 (b) Forwards Swaps & Options | 1,904,553 | 893,233 |
| 3.3 (c)Other contingent liabilities | 264,694 | 266,071 |
| 3.4 **(d)Total Contingent Liabilities** | **10,243,072** | **9,744,448** |
| **4.0 CAPITAL STRENGTH** | | |
| 4.1 (a)Core capital | **11,344,238** | 12,984,932 |
| 4.2 (b) Minimum Statutory Capital | 1,000,000 | 1,000,000 |
| 4.3 (c)Excess (a-b) | **10,344,238** | **11,984,932** |
| 4.4 (d) Supplementary Capital | 2,018,800 | 4,369,161 |
| 4.5 **(e) Total Capital (a+d)** | **13,363,038** | **17,354,092** |
| 4.6 (f)Total risk weighted assets | 74,824,096 | 83,080,132 |
| 4.7 **(g) Core Capital/Total deposits Liabilities** | **16.2%** | **15.8%** |
| 4.8 (h) Minimum statutory Ratio | 8.0% | 8.0% |
| 4.9 (I) Excess | 8.2% | 7.8% |
| 4.10 **(j) Core Capital / Total risk weighted assets** | **15.2%** | **15.6%** |
| 4.11 (k) Minimum Statutory Ratio | 10.5% | 10.5% |
| 4.12 (l) Excess (j-k) | 4.7% | 5.1% |
| 4.13 **(m) Total Capital/Total risk weighted assets** | **17.9%** | **20.9%** |
| 4.14 (n) Minimum statutory Ratio | 14.5% | 14.5% |
| 4.15 (o) Excess (m-n) | 3.4% | 6.4% |
| 4.16 (p) Core Capital/Total deposits Liabilities* | 16.5% | 15.8% |
| 4.17 (q) Core Capital / total risk weighted assets* | 15.5% | 15.6% |
| 4.18 (r) Total Capital/total risk weighted assets* | 18.2% | 20.9% |
| **5.0 LIQUIDITY** | | |
| 5.1 (a) Liquidity Ratio | **37.1%** | **43.4%** |
| 5.2 (b) Minimum Statutory Ratio | 20.0% | 20.0% |
| 5.3 (c) Excess (a-b) | 17.1% | 23.4% |

* The adjusted capital ratios include the expected credit loss provisions added back to capital in line with CBK guidance note issued in April 2018 on implementation of IFRS9

**Dividend**

Based on the 31 December 2021 results the Directors have recommended a payment of the first and final dividend of Kshs 0.83 per share amounting to Kshs 1,087,637,623 for the year ended 31st December 2021.

The above Consolidated Statement of Comprehensive Income and Statement of Financial Position are extracts from the Bank's Financial Statements as audited by Price water house Coopers LLP and received unqualified opinion. A full set of these Financial Statements will be available at our registered office at Family Bank Towers and online at www.familybank.co.ke for inspection after approval by members at the Annual General Meeting.

**Signed:** **Dr. Wilfred D. Kiboro**
**Chairman**

**Rebecca Mbithi**
**Managing Director & CEO**

Family Bank
With you, for life

Family Bank is regulated by the Central Bank of Kenya